E_Lecture2-2_W1

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<table>
<tr><td>Q1</td><td>
[21 pts, 3 pts for each]
(1)
A change in which of the following will NOT shift the demand curve for hamburgers?
a) the price of hot dogs
b) the price of hamburgers
c) the price of hamburger buns
d) the income of hamburger consumers
Answer:___b_____

(2)
If the economy goes into a recession and income falls, what happens in the market for inferior goods?
a) Prices and quantities both rise.
b) Prices and quantities both fall.
c) Prices rise and quantities fall.
d) Prices fall and quantities rise.
Answer:___d_____

(3)
If the demand curve for the product X is $Q_X^D = 10 - P_X + 0.5P_Y + 0.2I$, where P_Y is the price of product Y and I is the income of the buyer, which one is right?
a) Product X is an inferior good; product X and Y are complements.
b) Product X is a normal good; product X and Y are complements.
c) Product X is an inferior good; product X and Y are substitutes.
d) Product X is a normal good; product X and Y are substitutes.
Answer:____d____
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(4)

One reason we need government, even in a market economy, is that

a) there is insufficient market power in the absence of government.

b) property rights are too strong in the absence of government.

c) the invisible hand is not perfect.

d) Both a and b are correct. a, b

Answer:___c_____

(5)

Which of the following could reduce economic efficiency?

a) laws that encourage lawsuits.

b) policies that redistribute income.

c) policies that impose significant restrictions on international trade.

d) All of the above are correct

Answer:___c_____

(6)

Prices usually reflect

a) only the value of a good to society.

b) only the cost to society of making a good.

c) both the value of a good to society and the cost to society of making the good.

d) neither the value of a good to society nor the cost to society of making the good.

Answer:___c_____

(7)

According to a recent study of Chilean bus drivers, drivers who are paid by the number of passengers they transport have higher productivity than drivers who are paid by the hour. This result is an example of which principle of economics?

a) People face tradeoffs.

b) The cost of something is what you give up to get it.

c) Rational people think at the margin.

d) People respond to incentives.

Answer:____d____

Q2	[10 pts, 5 pts for each] 若P_X為 X 商品的價格， *I* 為所得，X 商品的需求函數經研究可寫成 $Q_X^D = b + a_1P_X + a_2P_Y + a_3I + a_4D + \ldots$ **(1) X 商品為劣等品的充分且必要條件為何?** **(2) X 與 Y 商品互為互補品的充分且必要條件為何?** (The price of product X per unit is P_X; the level of buyers' income is *I*. If the amount of demand for product X is Q_X^D expressed as $Q_X^D = b + a_1P_X + a_2P_Y + a_3I + a_4D + \ldots$ (1) What is the sufficient and necessary condition if the product X is an inferior good? (2) What is the sufficient and necessary condition if the product X and Y are complement?) 1. a_3 must be negative value. The income of consumer and the Quantity of product X is negative corelation 2. a_2 must be negative value . An increase of quantity of product X will lead the price of Y decrease

Q3	[9 pts, 3 pts for each] **(1)** **Movie tickets and film streaming services are substitutes. If the price of film streaming increases, what happens in the market for movie tickets?** **a) The supply curve shifts to the left.** **b) The supply curve shifts to the right.** **c) The demand curve shifts to the left.** **d) The demand curve shifts to the right.** **Answer:____d___**

(2)

We all know that expectation for future could affect current supply and demand. If everyone expects that the stock price of ASUS will rise sharply in the future, then quantity supplied and demanded of the stock

a) Both quantity supplied and demanded increase now

b) Quantity supplied remains constant but quantity demanded increases now

c) Quantity supplied decreases but quantity demanded increases now.

d) Quantity supplied increases but quantity demanded decreases now.

Answer:___c_____

(3)

Mike and Sandy are two woodworkers who both make tables and chairs. In one month, Mike can make 4 tables or 20 chairs, where Sandy can make 6 tables or 18 chairs. Given this, we know that the opportunity cost of 1 chair is:

a) 1/5 table for Mike and 1/3 table for Sandy.

b) 1/5 table for Mike and 3 tables for Sandy.

c) 5 tables for Mike and 1/3 table for Sandy.

d) 5 tables for Mike and 3 tables for Sandy.

Answer:___a_____

Q4 **[20 pts]**

The following table shows the number of cases of water each seller is willing to sell at the prices listed.

Price per case	Supplier A	Supplier B	Supplier C	Supplier D
$0.00	0 cases	0 cases	0 cases	0 cases
$3.00	100 cases	40 cases	60 cases	100 cases
$6.00	200 cases	80 cases	120 cases	200 cases
$9.00	300 cases	120 cases	180 cases	300 cases

(1) If all four suppliers operate in this market, what is the market quantity supplied when the price is $6.00 per case? [5 pts]

Q = 200 + 80 + 120 + 200

Answer: <u>   600   </u>

(2) If only supplier B and C operate in this market, what is the market quantity supplied when the price is $3.00 per case? [5 pts]

Q = 40 + 60

Answer: <u>   100   </u>

(3) Assuming these are the only four suppliers in this market, the function for market supply can be $Q^S = ?$ [10 pts]

Q^{S.M} = Q_A + Q_B + Q_C + Q_D

Q5

[15 pts, 5 pts for each]

(1)

The discovery of a large new reserve of crude oil will shift the________curve for gasoline, leading to a ________equilibrium price

a) supply, higher.

b) supply, lower.

c) demand, higher

d) demand, lower.

Answer: <u>   b   </u>

(2)

Which of the following might lead to an increase in the equilibrium price of jelly and a decrease in the equilibrium quantity of jelly sold?

a) an increase in the price of peanut butter, a complement to jelly.

b) an increase in the price of Marshmallow Fluff, a substitute for jelly.

c) an increase in the price of grapes, an input into jelly.

d) an increase in consumers' incomes, as long as jelly is a normal good.

Answer: <u>   a   </u>

(3)

	The market demand function for hamburger is $Q^{D.M} = 10 - 2P$, and its market supply function is $Q^{S.M} = 5 + 3P$. Please find the equilibrium price and quantity $P^{E.M}$ and $Q^{E.M}$. **a) $P^{E.M}$ = 2; $Q^{E.M}$ = 6** **b) $P^{E.M}$ = 4; $Q^{E.M}$ = 2** **c) $P^{E.M}$ = 1; $Q^{E.M}$ = 8** **d) $P^{E.M}$ = 8; $Q^{E.M}$ = 1** **Answer:____c____**

Q6	**[10 pts, 5 pts for each]** **The demand and supply functions of product X are expressed as follows:** $P_X = 30 - Q_X^{D.M}$ **(demand function)；** $P_X = 2 + Q_X^{S.M}$ **(supply function)** **(1) When $P_X = 6, 12, 20$ ，what is the corresponding quantity demanded and supplied $Q_X^{D.M}$ and $Q_X^{S.M}$?** **Sol.** When P_X = 6: Q_X^{DM} = 24 Q_x^{SM} = 4 When P_X = 12: Q_X^{DM} = 18 Q_x^{SM} = 10 When P_X = 20: Q_X^{DM} = 10 Q_x^{SM} = 18 **(2) When $P_X = 6, 12, 20$, does the market exist surplus or shortage?** **Sol.**

When :

P_x = 6, shortage

P_x = 12, shortage

P_x = 20, surplus

Q7 **[15 pts, 5 pts for each]**

11. Suppose that the price of basketball tickets at your college is determined by market forces. Currently, the demand and supply schedules are as follows:

Price	Quantity Demanded	Quantity Supplied
$4	10,000 tickets	8,000 tickets
8	8,000	8,000
12	6,000	8,000
16	4,000	8,000
20	2,000	8,000

a. Draw the demand and supply curves. What is unusual about this supply curve? Why might this be true?

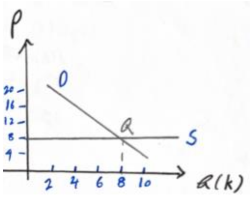
b. What are the equilibrium price and quantity of tickets?

c. Your college plans to increase total enrollment next year by 5,000 students. The additional students will have the following demand schedule:

Price	Quantity Demanded
$4	4,000 tickets
8	3,000
12	2,000
16	1,000
20	0

Now add the old demand schedule and the demand schedule for the new students to calculate the new demand schedule for the entire college. What will be the new equilibrium price and quantity?

Sol.

a. 

b. Equilibrium price, P^{EM} = 8, Equilibrium quantity, Q^{EM} = 8,000

c. Equilibrium price, P^{EM} =12, Equilibrium quantity, Q^{EM} = 8,000